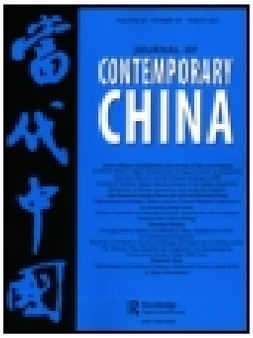


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# Understanding the Constraints on the Supply of Public Education to the Migrant Population in China: evidence from Shanghai

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**ABSTRACT**
The right to education for children from rural migrant families in urban areas has sparked heated debates in China. While there are increasing indications of policy changes to bring public education to all citizens regardless of their residency, it is less clear what kinds of resources are needed to create an education supply to serve this constantly moving and ever-growing population. Using archival and interview data on a large urban district in Shanghai, the authors analyze the constraints faced by local government in providing full-scale free education to migrant children. The authors find that the public finance scheme, teacher staffing policy and land use policy are the three factors that constrain the supply of public education in large metropolitan areas. This analysis also shows that under the current decentralized management scheme, local government alone does not have the capacity to resolve these constraints. This finding calls for coordination among various state branches at the national level.

## Introduction

Many China observers have noted that the key to the continued growth of China's cities lies in educating the youth, particularly those who are currently denied access to public education in cities. Because the *hukou* (户口), or household registration system (HRS), ties eligibility for social services, including education, to each citizen's rural or urban classification, rural migrants who move to cities are not entitled to education in their destinations but only in the villages that they leave behind.[1] This has created two interconnected issues. In the cities, millions of immigrants are denied educational rights; meanwhile, an equally large number of children are left behind in villages, where they are cared for by older relatives while their parents work in the cities.[2]

The Chinese government has issued several policy mandates to address these issues. Most notably, a 2003 ordinance requires the local government at the receiving end to take responsibility for educating

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[1]Migrants come, of course, from various backgrounds. In this article the authors use the term to describe rural-to-urban migrants, corresponding to the Chinese terms 农民工 and 进城务工人员.

[2]Edwin Lim, Ian Porter, Paul Romer and Michael Spence, *Medium and Long Term Development and Transformation of the Chinese Economy: An International Perspective* (Beijing: Beijing Cairncross Economic Research Foundation, 2011); Holly H. Ming, *The Education of Migrant Children and China's Future: The Urban Left Behind* (Abingdon: Routledge, 2014); Anjie Zheng, 'You say you want an urban migration', *The Wall Street Journal*, (16 December 2013), available at: http://online.wsj.com/news/articles/SB10001424052702304858104579261981495646884 (accessed 4 November 2014).

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children from migrant families.[3] This means that the host area's educational authority must provide funding and enrollment quotas for these migrant children. Since there is currently no national scheme to coordinate public education offerings for migrant children, provincial governments have been free to experiment with different ways of providing education for migrant children. Local authorities have developed a range of distinctive programs.[4]

After several years of experimentation, a number of common issues have surfaced. First, educational authorities in areas receiving migrants report increasing fiscal burdens caused by educational costs as the migrant population continues to grow. Second, the quality of education varies significantly among schools serving migrant children. And third, equality has become a concern because some local governments have resisted accepting migrant children to their public schools. Most migrant students who attend school are enrolled in private or semi-private schools that are inadequately equipped and staffed. Even when public education is available to migrant children, local and migrant students are not treated equally.

In view of these problems, what are the obstacles to expanding public education to include all migrant children? While the legal requirement paved the way for more rapid development of education for migrant children, the inadequate supply of education remains an underexplored problem. The existing literature often investigates and analyzes the education of rural migrant children from the demand perspective, exposing the heartbreaking predicament facing urban schools receiving rural migrant students as well as the profound financial and institutional obstacles that exclude rural migrant children from public schools. The misery of rural migrant families stings the public conscience, leading to increasingly strident demands for educational inclusion as a way of securing justice for rural migrant children. However, very little attention has been paid to the practical and institutional constraints affecting the supply side, that is, the capacity of the receiving cities to fully accommodate the educational needs of migrant children and the costs associated with such accommodation. In the absence of a systematic analysis of supply capacity, the demand for educational inclusion remains a polemical outcry lacking practical means for realization.

In order to close this gap, in this study the authors examine a series of elements that are crucial to the supply of public education from the perspective of local governments. While past studies tend to use the convenient measure of educational expenditure as the main indicator of supply, the authors explore the intricacies of local fiscal, administrative and land use constraints that restrict local governments' capacity to expand public education in step with the growing migrant population in cities. The findings not only have implications for the future development of public education for the migrant population; they also shed light on public administration reform in China.

The article is organized as follows. The authors first review the current educational status of migrant children. The authors then outline the localized management of public education in China. In the data section, the authors describe how qualitative information is used in this study. The authors present their findings in the analysis section and close the article with a discussion.

## Literature review

### *The scale of the migrant children phenomenon*

As Chinese cities continue to grow, so does the urban population. Much of the growth is attributable to the so-called floating population: rural migrants who move seasonally between urban and rural areas to seek job opportunities in the cities. Official statistics show that the population of rural migrant workers[5]

[3]General Office of the State Council of the People's Republic of China, *Instructions on Further Improving Compulsory Education Provision to Migrant Children in Urban Areas (No. 78)* (Beijing: General Office of the State Council of the People's Republic of China, 2003), available at: http://www.gov.cn/zwgk/2005-08/14/content_22464.htm (accessed 4 November 2014), in Chinese.

[4]Lian-Sheng Yuan, 'Policy analysis of financing compulsory education for peasant workers' children', *Journal of the Chinese Society of Education* 2, (2010), pp. 1–5, in Chinese.

[5]The National Bureau of Statistics of China defines rural migrant workers as rural workers who work and live in areas outside the towns or townships of their registered *hukou* for a period longer than six months in the survey year.

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has been growing steadily in recent years, from 114 million in 2003 to 132 million in 2006, 153 million in 2010 and 163 million in 2012.[6] Approximately half (47%) of the total rural labor migration takes place across provinces, mainly from the less-developed central and western regions to the economically advanced eastern provinces. Notably, a substantial number of rural migrant workers, 33.8 million in 2012, have actually settled down in cities together with their families, even though they continue to be classified as 'migrant' or 'floating' workers.[7]

The latest statistics from the 2010 census estimate the total population of migrant children as 35.8 million nationwide, a 41% increase since 2005.[8] More than 80% (28.8 million) of these migrant children hold rural household registration, and 41% (14.7 million) have reached compulsory school age (6–14 years).[9] By this estimation, school-aged migrant children from rural origins may have numbered 11.8 million in 2010. The migrant children are highly concentrated in a few developed eastern provinces, such as Guangdong (4.34 million), Zhejiang and Jiangsu (more than 2 million each). Megacities such as Beijing, Shanghai and Shenzhen have a particularly high density of migrant children. Four out of ten children in Shanghai and three out of ten children in Beijing are migrant children.[10]

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## *Education for migrant children*

China's Compulsory Education Law stipulates that all children of school age in the country are entitled to nine years of free compulsory education from grade one to grade nine. In reality, public education was mostly inaccessible to rural migrant children in the 1990s. With the local governments of migrant-receiving cities ignoring the huge educational demand of rural migrants, numerous private schools jumped at the business opportunity to recruit migrant children from rural, blue-collar families. Such schools came to be called migrant schools. From their appearance in 1992 or 1993,[11] these fee-charging migrant schools were the only realistic option for the majority of rural migrant children until 2007 or 2008,[12] when the local governments of the destination cities started to open up the public school system and to regulate and sponsor migrant children's education.

Migrant schools continue to exist in both large and midsized cities, but they are concentrated in large cities. Beijing had about 300 migrant schools around the beginning of the twenty-first century,[13] whereas the number was more than 500 for Shanghai in 2003 and more than 250 for Guangzhou.[14] An overwhelming majority of these migrant schools are unauthorized schools without a government-issued license.

With only a few exceptions, the operators of migrant schools are themselves floating workers who do not hold residency in the city of their abode. A 2004 study showed that some operators have teaching experience from their original areas of residence, but a significant percentage, about one-quarter, of

[6]National Bureau of Statistics of China, *2012 Annual Report on Migrant Workers* (Beijing: National Bureau of Statistics of China, 2013), available at: http://www.stats.gov.cn/tjsj/zxfb/201305/t20130527_12978.html (accessed 4 November 2014), in Chinese; Yingquan Song, *Current Status of Migrant Children Receiving Public Education and Policy Analysis of the 'Two Main' Strategy* (Beijing: China Institute for Educational Finance Research, 2007).

[7]National Bureau of Statistics of China, *2012 Annual Report on Migrant Workers*.

[8]All-China Women's Federation, *Current Status of Migrant and Left-Behind Children in China* (Beijing: All-China Women's Federation, 2013), available at: http://acwf.people.com.cn/n/2013/0510/c99013-21437965.html (accessed 4 November 2014), in Chinese.

[9]*Ibid*.

[10]*Ibid*.

[11]Jialing Han, 'Survey report on the state of compulsory education among migrant children in Beijing', *Chinese Education & Society* 37(5), (2004), pp. 29–55; Ming, *The Education of Migrant Children and China's Future*.

[12]Shaoqing Lu and Shouli Zhang, 'Urban/rural disparity and migrant children's education: an investigation into schools for children of transient workers in Beijing', *Chinese Education & Society* 37(5), (2004), pp. 56–83; Research Group of China National Institute for Educational Research, 'Investigation report on the educational status of the children living with the rural migrant workers in cities', *Educational Research* 4, (2008), pp. 13–21, in Chinese; Song, *Current Status of Migrant Children Receiving Public Education and Policy Analysis of the 'Two Main' Strategy*.

[13]Julia Kwong, 'Education and identity: the marginalisation of migrant youths in Beijing', *Journal of Youth Studies* 14(8), (2011), pp. 871–883.

[14]Song, *Current Status of Migrant Children Receiving Public Education and Policy Analysis of the 'Two Main' Strategy*.

the operators come from non-education-related occupations. They run the migrant schools in pursuit of profit. Tuition in migrant schools is lower than tuition in public schools, but the schools nonetheless remain profitable.[15]

It thus seems likely that migrant schools are operated on a shoestring.[16] Many schools are located in abandoned factory buildings, tiny and crumbling courtyards, rented private rooms or even shelters in a vegetable plot. School facilities and teaching equipment are minimal, and learning conditions for students are harsh and primitive.[17] Most disturbing is the low level of qualification of teachers in migrant schools. The wages of the teachers are also kept at a minimal level, amounting to about 500 *yuan* per month in the early 2000s[18] and rising to an average of 895 *yuan* for unlicensed schools in 2007.[19] Therefore, good teachers tend to leave, and the teacher turnover rate in migrant schools is very high, with an annual loss of 10–20 teachers on average per school.[20] As a result, migrant schools hire teachers without quality screening.

## *The localized management regime of public education*

This study is informed by the framework of public administration developed by Jianming Zhou.[21] Zhou characterizes the provision of public education in China as 'localized' (属地化). This means that the responsibility for providing public education rests at the local level. In the countryside, the county (县) government is the responsible body, with support from township (乡) governments; in urban areas, the district (区) government carries primary responsibility with the aid of neighborhood (街道) and township (镇) governments.[22] This administrative regime contrasts sharply with the highly centralized system of resource collection and distribution. In spite of the dynamic movement of people across provinces and across regions within provinces, the process of budgeting and allocating various types of resources for education, including financial, personnel and land resources, is conducted mostly based on the size of the locally registered population, with no adjustment across administrative units, particularly among provinces.

For example, under the current tax-sharing scheme, education is funded mostly through local taxes, with very few transfers from higher levels of government.[23] Provincial governments bear primary responsibility for redistributing or rebalancing fiscal capacity within their jurisdictions. At the national level, there are only a few designated grants that serve to adjust for regional imbalances in development,[24] but none functions specifically as a remedy for population movements.

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[15]Han, 'Survey report on the state of compulsory education among migrant children in Beijing'; Ming, *The Education of Migrant Children and China's Future*.

[16]Lu and Zhang, 'Urban/rural disparity and migrant children's education'.

[17]*Ibid.*; Ming, *The Education of Migrant Children and China's Future*; T. E. Woronov, 'In the eye of the chicken: hierarchy and marginality among Beijing's migrant schoolchildren', *Ethnography* 5(3), (2004), pp. 289–313.

[18]Kwong, 'Education and identity'; Lu and Zhang, 'Urban/rural disparity and migrant children's education'.

[19]Research Group of China National Institute for Educational Research, 'Investigation report on the educational status of the children living with the rural migrant workers in cities'.

[20]*Ibid*.

[21]Jianming Zhou, 'Resource allocation for the supply of public goods under locally managed system vs. high-mobile society', *Academic Monthly* 2, (2014), pp. 86–92, in Chinese.

[22]*Ibid*.

[23]Rachel Murphy, 'Paying for education in rural China', in Vivienne Shue and Christine Wong, eds, *Paying for Progress in China: Public Finance, Human Welfare and Changing Patterns of Inequality* (London: Routledge, 2007), pp. 69–95; Mun C. Tsang, 'Intergovernmental grants and the financing of compulsory education in China' (Center on Chinese Education, Teachers College, Columbia University, June 2001), available at: http://www.tc.columbia.edu/faculty/tsang/Files/35.pdf (accessed 4 November 2014); Christine Wong, 'Can the retreat from equality be reversed? An assessment of redistributive fiscal policies from Deng Xiaoping to Wen Jiabao', in Shue and Wong, eds, *Paying for Progress in China*, pp. 1–28; Christine Wong, 'Paying for urbanization in China: challenges of municipal finance in the twenty-first century', in Roy W. Bahl, Johannes F. Linn and Deborah L. Wetzel, eds, *Financing Metropolitan Governments in Developing Countries* (Cambridge, MA: Lincoln Institute of Land Policy, 2013), pp. 273–308.

[24]P. Li, ed., *A Concise Graphical Depiction of the Fiscal System* (Beijing: Chinese Financial Economics Press, 2010), in Chinese.

Beyond financial resources, the distribution of personnel and land resources follows a similar, localized pattern.[25] Personnel who work in public schools are regulated locally. As public employees, school personnel require officially established positions, or *bianzhi*, to stay on the public payroll. School personnel consist largely of either administrative personnel (e.g. principals, district clerks) or teachers. While both types of employees are labeled public employees (事业单位人员), the former are by and large appointed by the municipal public sector reform office (编办),[26] while the size of the teaching staff is determined through negotiation between the district education commission and the district *bianban*. The budgeting for *bianzhi* takes into account only local factors, such as fiscal capacity and the size of the registered population. *Bianzhi* are not transferable across regions since the compensation level varies substantially.[27] It is not rare for the actual number of hires to exceed the officially permitted personnel quota.[28]

Finally, educational activities require a physical location in which to operate. Urban land use is regulated by various levels of the Land Administration Bureau (土地管理局).[29] Public land is classified into various categories—residential, commercial, industrial, etc.[30] Each level of government receives a quota that determines what percentage of the land they own can be used for each category of activity. The implementation of these land quotas is audited regularly by the state Land Administration Bureau to prevent abuse.

In migrant-hosting cities, particularly large cities, the amount of newly available land is limited, which prevents the governments of these cities from granting a greater land share to schools.[31] In the absence of a unified national land market, there is no simple mechanism for transferring land quotas between the sending and hosting regions.[32] The fast consolidation and urbanization of rural areas does not necessarily translate into the expansion of land that can be used for educational purposes.

In 2006, the Chinese government updated the Compulsory Education Law, which mandated local governments in cities to provide education for newcomers. Public school systems in megacities such as Beijing and Shanghai began to open to migrant children in 2007 and 2008. However, the inherent contradiction between localized responsibility and centralized control over resources has remained present in education administration. In destination cities, the pressures of finance, personnel and land tend to be heightened as these cities' public education systems absorb more migrant children. This study uses empirical data from Shanghai to examine the effect of the localized management scheme on the provision of public education. The authors aim to answer two questions. (1) How is the provision of education to migrant children constrained by the financial, personnel and land resources? (2) How do local educational authorities, caught between administrative obligations and resource constraints, struggle to provide quality education to migrant children?

## Data and methods

The authors rely on two data sources. Archival data are derived from government publications and annual statistics provided by educational authorities. Interview data are used to make sense of the statistics and to provide insights from an insider's viewpoint.

[25]Zhou, 'Resource allocation for the supply of public goods under locally managed system vs. high-mobile society'.
[26]The formal Chinese term is 机构编制委员会办公室. It has also been translated as 'central establishment commission and office'. The authors chose to use the term 'public sector reform office' because it is used on government websites.
[27]Zhou, 'Resource allocation for the supply of public goods under locally managed system vs. high-mobile society'.
[28]Kjeld Erik Brødsgaard, 'Institutional reform and the *bianzhi* system in China', *The China Quarterly* 170, (2002), pp. 361–386.
[29]Samuel P. S. Ho and George C. S. Lin, 'Emerging land markets in rural and urban China: policies and practices', *The China Quarterly* 175, (2003), pp. 681–707.
[30]Ministry of Housing and Urban–Rural Development of the People's Republic of China, *Code for Classification of Urban Land Use and Planning Standards of Development Land GB50137-2011* (Beijing: Ministry of Housing and Urban–Rural Development of the People's Republic of China, 2011).
[31]Zhou, 'Resource allocation for the supply of public goods under locally managed system vs. high-mobile society'.
[32]Kam Wing Chan and Li Zhang, 'The *hukou* system and rural–urban migration in China: processes and changes', *The China Quarterly* 160, (1999), pp. 818–855.

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Semi-structured interviews were conducted from February 2013 to January 2014. The first author interviewed officials from one of the largest districts in Shanghai (henceforth District S). The interviewees include the district deputy education commissioner, the head and deputy head of the education commissioner's office, and the deputy head of the *bianban*. Each interview lasted between one and two hours. The authors inquired about the details of educational provision in the focus district, including the student population, the number of rural migrant children, the district government's educational fiscal standing, the educational budget and expenses, challenges in school staffing, the availability of land, and regulations on land use. The authors also discussed with the interviewees the process through which staffing choices and school space allocation were negotiated. The interviews were conducted in an open environment. The interviewees were free to express their opinions and were encouraged not to shy away from the researcher's direct inquiries.

## The local context

According to 2010 census data, the migrant population in Shanghai has topped 8.98 million, making up more than a third of the city's entire population.[33] More than 80% of the migrant population resided in peripheral districts outside of metropolitan Shanghai.[34] The population of District S reached two million in 2010, with more than half consisting of migrants. District S is one of the largest destinations for migrants in Shanghai.

Prior to 2008, migrant children received their education in two major types of institutions: private schools (私立学校) and unregistered migrant schools (农民工子弟学校).[35] The situation in Shanghai is very similar to that in other Chinese megacities. The authors list the national and local Shanghai policies in Table 1. Based on the chronology of policies, it is evident that, prior to 2008, Shanghai mostly followed the national guidelines passively. By allowing migrant schools to operate, the city created a separate stream of schools that served only the migrant population. It was in 2008 that the Shanghai municipal government took the real initiative to design a three-year action plan to fully incorporate migrant schools into the city's public school system.

Migrant schools were run by individuals or private organizations and charged a small fee to students. By 2008, there were 35 such migrant schools in District S. They catered to elementary grades only or offered a joint elementary and middle school program (grades 1–9).

The migrant schools were of varying quality. They typically did not follow the city's standard curriculum. Teachers were often recruited from outside Shanghai and were not qualified according to the city's standards. Very few students attended public schools because of policy restrictions. During 2008–2010, in accordance with the city's initiative to equalize educational opportunities between migrant children and local students,[36] District S merged the 35 unregistered migrant schools into 13 semipublic institutions (民办农民工子女学校, or 民办 for short) by providing per-pupil funding from district resources. All students previously enrolled in the migrant schools were transferred either into the new *minban* schools or into neighboring public schools.

The 13 *minban* schools were effectively absorbed into the district system. They were regularly inspected and their principals appointed by the district education commission. The schools followed the same curriculum as other public schools in the district, and students participated in the same activities (such as a field trip each spring and fall semester) as students in local schools.

[33]Shanghai Municipal Statistics Bureau, 'Briefing on the results of the sixth national census in Shanghai', (2011), available at: http://www.stats-sh.gov.cn/sjfb/201105/218818.html (accessed 4 November 2014), in Chinese.

[34]Shanghai Municipal Statistics Bureau, 'Current status and characteristics of resident population from other provinces', (2011), available at: http://www.stats-sh.gov.cn/fxbg/201109/232741.html (accessed 4 November 2014), in Chinese.

[35]While private schools are officially recognized and regulated by the government, migrant schools operated in a gray zone that did not have a clear legal status. For the changing policies regarding migrant schools, see Jie Dong, 'Neo-liberalism and the evolvement of China's education policies on migrant children's schooling', *Journal for Critical Education Policy Studies* 8(1), (2010), pp. 137–160.

[36]Shanghai Municipal Education Commission, *Some Opinions on Regulating* Minban *Schools Serving Migrant Children (No. 7)* (Shanghai: Shanghai Municipal Education Commission, 2010), in Chinese.

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**Table 1.** Policy iterations on migrant children.

| Year and month | National policy | Local Shanghai policy |
|---|---|---|
| 1996/4 | Interim Measure of School Education for Migrant Children and Adolescents in Cities and Towns (Pilot) | |
| 1997/12 | | Measures of Implementing the Compulsory Education Law in Shanghai (Revised) |
| 1998/3 | Interim Measures of School Education for Migrant Children and Adolescents | |
| 1998/8 | | Interim Measures of School Education for School-Age Children and Adolescents of the Migrant Population in Shanghai |
| 2001/5 | The State Council's Ruling over Basic Education Reforms and Development | |
| 2003/1 | The State Council's Notification on Improving Labor Management and Services for Rural Migrant Workers | |
| 2003/9 | The State Council's Notification on Further Improving Education of Children of Rural Migrant Workers | |
| 2004/2 | | Notification on the Provision of Compulsory Education to Children of Migrant Workers, Joint Decision by Seven Departments in Shanghai |
| 2004/3 | Advice on Promoting the 'Single Fee System' in Schools of Compulsory Education | Advice on Implementing the 'Single Fee System' in Schools of Compulsory Education in Shanghai, Joint Decision by Shanghai Education Commission, Shanghai Bureau of Prices and Shanghai Bureau of Finance |
| 2006/1 | Some Advice on Solving the Problems Related to Rural Migrants, by the State Council | |
| 2006/5 | Advice on Implementing 'Some Advice on Solving the Problems Related to Rural Migrants', by the Ministry of Education | |
| 2006/6 | The Compulsory Education Law (Revised) | |
| 2006/10 | | Advice on Improving Service Provisions to Migrant Workers in Shanghai, by Shanghai Municipal Government |
| 2007/2 | | Continue Implementing the Compulsory Education Law, Strengthen the Municipality-Wide Planning of Compulsory Education Resources |
| 2008 | | Three-Year Action Plan of Education for Children of Rural Migrant Workers in Shanghai |
| 2010/1 | | Some Advice on Strengthening the Management of *Minban* Elementary Schools Primarily Admitting Rural Migrant Children, by Shanghai Education Commission |

Sources: Song, *Current Status of Migrant Children*; Shanghai Education Commission, available at: http://www.shmec.gov.cn/.

**Table 2.** Education provision in District S, 2012.

| School type | Schools | Classes | Students | Teaching and other personnel |
|---|---|---|---|---|
| Vocational | 8 | 270 | 14,569 | 1,011 |
| Secondary | 63 | 1,321 | 45,219 | 6,513 |
| by education authority | 50 | 1,059 | 35,778 | 5,119 |
| by other entities | 13 | 262 | 9,441 | 1,394 |
| Elementary | 62 | 2,003 | 81,309 | 4,567 |
| by education authority | 45 | 1,412 | 54,344 | 3,374 |
| by other entities | 17 | 591 | 26,965 | 1,193 |
| Kindergarten | 149 | 2,066 | 58,535 | 8,228 |
| by education authority | 61 | 1,114 | 31,120 | 4,255 |
| by other entities | 88 | 952 | 27,415 | 3,973 |
| Special education | 2 | 35 | 485 | 126 |
| Reform schools | 1 | 7 | 80 | 40 |
| **Total** | 285 | 5,702 | 200,197 | 20,485 |

Source: District S education statistics, 2012.

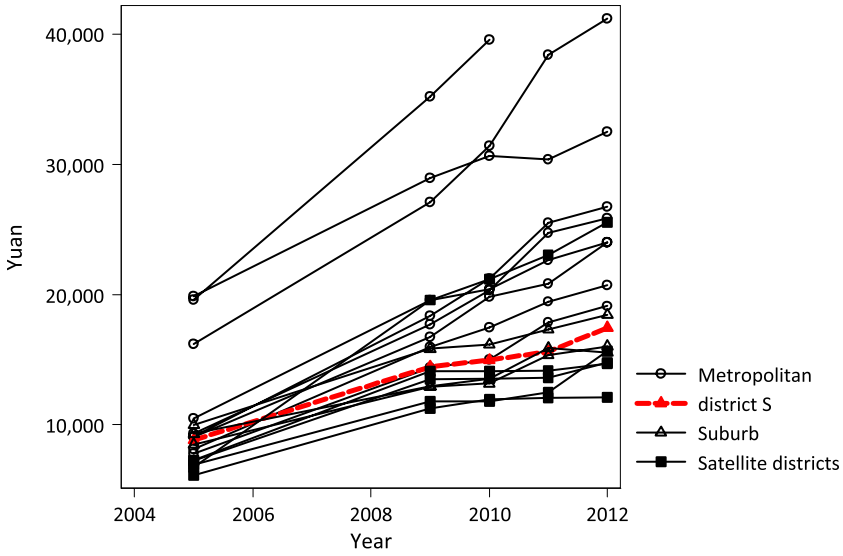


**Figure 1.** Actual per-pupil expenditure at elementary level by school districts in Shanghai.

In 2008, local public schools also started to accept migrant children who met certain criteria. By 2012, about 57.8% of all migrant students in District S were enrolled in public schools. A total of 12,725 students attended public middle schools, 25,770 students attended public elementary schools and 28,049 students attended *minban* elementary schools. These statistics are summarized in Table 2.

## Analysis

### *Public finance*

According to official statistics, education expenditure in District S grew on average 10.7% per year during 2008–2012. One interviewee added that in 2012 district-level expenditure on education accounted for 15% of the district's annual spending on public services. Within the education budget, transfers from the municipal government came to one billion *yuan* in 2013. The district itself committed three billion, yielding a total of four billion *yuan* of district-level spending on education. These amounts are determined jointly by the district and the city's education commission in view of student enrollment in the previous year and projected enrollment in the next academic year. Factors such as total disposable fiscal revenue and changes in the local resident population are also taken into account. It is evident that the principal financial burden of educational provision (about 75% of total spending) falls on the district.

In an interview, the deputy education commissioner said:

> We are certainly feeling the heat. There are more and more students coming in, but our resources did not grow that fast. The economic outlook in past years was not great, and our disposable fiscal capacity slowed down quite a bit. … We cannot compare with districts in metropolitan areas, as our per-pupil funding is only a fraction of theirs, but even sustaining our current practice has become harder. (Log1675295981568)

The commissioner's words are not unwarranted. A comparison with other districts (see Figure 1) shows that the level of per-pupil funding provided by District S to its local students is not as high as the funding provided by other districts in the metropolitan area, a reflection of the modest fiscal capacity of the district in general. Because of the rapid increase in the migrant population, most of the growth in education expenditure has gone into public schools and *minban* schools in order to provide free education for these children. From the district's perspective, the most significant expenditures were the following items:

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**Table 3.** General fiscal income and appropriation for education in District S, 2008–2012.

| | Fiscal income | | Appropriation on education | |
|---|---|---|---|---|
| Year | Total[a] | Growth | Total[a] | Growth |
| 2008 | 1,103,517 | N/A | 152,709 | N/A |
| 2009 | 1,236,049 | 12.01% | 180,624 | 18.28% |
| 2010 | 1,389,814 | 12.44% | 213,462 | 18.18% |
| 2011 | 1,463,334 | 5.29% | 232,000 | 8.68% |
| 2012 | 1,541,317 | 5.33% | 253,484 | 9.26% |

[a]In units of 10,000 *yuan*.
Source: Compiled by the authors from http://www.shmec.gov.cn/.

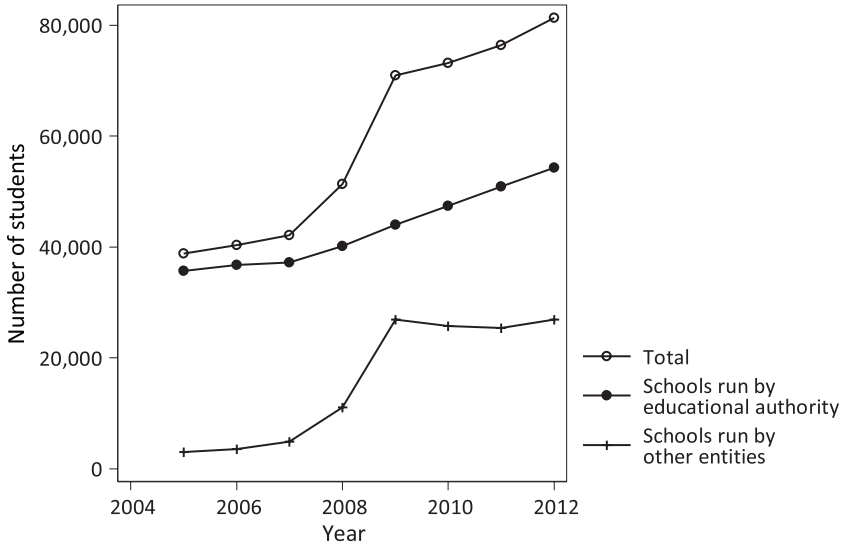


**Figure 2.** The size of the student body at elementary level in District S, 2005–2012.

- 5,000 *yuan* per pupil at *minban* schools (28,049 students in 2012)
- 17,447 *yuan* per pupil for migrant children enrolled in public elementary schools (25,770 students)
- 25,000 *yuan* per pupil for migrant children enrolled in public middle schools (12,725 students)
- 10,498 *yuan* per pupil for migrant students enrolled in secondary vocational schools (about 7,000 students)

While the first item is decided by the municipal government and is thus funded jointly by the municipal government (40%) and the district government (60%), the last three items fall exclusively on the district government. This division of labor is justified by the legal expectation that local governments bear primary responsibility for providing education for migrant children.[37]

The first question, then, is whether this model is sustainable in the long run. In Table 3, the authors summarize the increase in fiscal capacity and the increase in education expenditure for District S. It is clear that growth in expenditure outpaced growth in tax revenue. But even at this rate of expenditure, the district's per-pupil spending is only at the middle of the pack. The authors believe that the reason for this is that the number of students served by the district increased much more rapidly than the district's fiscal capacity.

To support this argument, let us take a look at how per-pupil expenditure is calculated at each level:

$$\text{Per - pupil expenditure} = \frac{\text{Total educational appropriation}}{\text{Total students enrolled in public schools}}$$

[37]Dong, 'Neo-liberalism and the evolvement of China's education policies on migrant children's schooling'.

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The total educational appropriation is shown in Table 3, and the total number of enrolled students can be inferred from student headcount data (see Figure 2). The available data from 2005 to 2012 show that over this period the elementary student body grew from 38,811 to 81,309 at a compound rate of 11.14% annually. About 56% of the growth came from schools run by entities other than the district. But since this category consists of either private schools, which do not require public funding, or *minban* schools, which are funded at 5,000 *yuan* per pupil, these schools are not taken into consideration in calculating the change in per-pupil spending. This change is due to an increase in the number of students in public schools.

The growth in the student population in public schools accelerated significantly after 2008–2009. Previously, when public schools were open only to local students, the district's student body grew at an annual rate below 1.4% from 2005 to 2007, adding fewer than 1,000 students per year. From 2008 until 2012, the student body grew at a compound rate of 7.8% annually, adding more than 3,400 students each year. Comparing this figure with the average rate of growth of the elementary student population in the city as a whole (4% during the 2008–2012 period),[38] the authors see that public school enrollment in District S expanded at an above-average rate. Therefore, although total education expenditure also grew, the more rapid growth of the total number of students resulted in more modest per-pupil spending. In view of the district's 2005–2007 student body growth rate and the average growth rate in the city in 2008–2012, it seems plausible that the rapid growth in the district's student population since 2008 is attributable to the sharp increase in the number of migrant children enrolled in public schools. If this trend in student demographics continues, one would expect it to continue to outpace growth in educational investment. This would have two implications: the proportion of the district's general revenue pool used for education sector would increase, and the growth of education expenditure will continue to slow down.

The second question prompted by the district's educational expenditure breakdown concerns equality. Since there are more than 20,000 migrant students who can attend only migrant schools, which are funded at a much lower level than public schools, it is natural to ask, 'What could be done to level the playing field?' A quick estimate shows that if the district increased its annual per-pupil spending on the 28,049 migrant students currently enrolled in *minban* schools from the current 5,000 *yuan* to the public school average of 17,000 *yuan*, its education expenditure would need to grow by about 336,588,000 *yuan* per year.[39] This estimate assumes that no other additional expenses are necessary (e.g. for new school facilities, teacher retraining, etc.). Given that the current annual expenditure is about three billion *yuan* on the part of the district, this increase in per-pupil spending would require an 11.2% increase in education expenditure. The authors noted earlier that the district's 17,000-*yuan* per-pupil spending in public elementary schools falls at the lower middle on the scale of Shanghai districts' education spending. But even at this modest level of funding, equalizing the educational system for migrant children would require a substantial additional commitment from the district.

### *Teacher staffing policy*

A high-quality teaching force is a prerequisite of providing high-quality education. In the case of migrant children, the current practice of District S is to 'walk on two legs'. On the one hand, there are regular teachers who work in public schools and whose qualifications and compensation levels are set by the district; on the other hand, there are contract teachers who work in *minban* schools and have lower levels of qualification and compensation (henceforth called *minban* teachers). *Minban* teachers were

[38]This rate was calculated using annual statistics on the student headcount from the Shanghai Education Commission, available at: http://www.shmec.gov.cn/web/xxgk/rows_list.php?node_code=303 (accessed 4 November 2014), in Chinese.

[39]If we exclude the 2,000-*yuan* transfer from the municipal government, the additional amount needed is even larger, 392,686,000 *yuan*.

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**Table 4.** Permitted teacher–student ratio and class size.

| School type | Location | Class size | Total personnel per class | Teachers per class | Other personnel per class |
|---|---|---|---|---|---|
| High school | City | 45–50 | 3.6–4 | 3 | 0.6–1 |
| | Township | 45–50 | 3.5–3.8 | 3 | 0.5–0.8 |
| | Rural | 45–50 | 3.3–3.7 | 3 | 0.3–0.7 |
| Middle school | City | 45–50 | 3.3–3.7 | 2.7 | 0.6–1 |
| | Township | 45–50 | 2.8–3.1 | 2.7 | 0.1–0.4 |
| | Rural | 45–50 | 2.5–2.8 | 2.7 | 0.1 |
| Elementary school | City | 40–45 | 2.1–2.4 | 1.8 | 0.3–0.6 |
| | Township | 40–45 | 1.9–2.1 | 1.8 | 0.1–0.3 |
| | Rural | | Discretionary | | |

Source: Ministry of Education of People's Republic of China, *Teacher Staffing Standard* (Beijing: Ministry of Education of People's Republic of China, 2002), available at: http://www.moe.edu.cn/publicfiles/business/htmlfiles/moe/moe_26/200206/316.html (accessed 4 November 2014), in Chinese.

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mostly hired before 2008. They are paid 30,000–50,000 *yuan* annually, with no additional benefits. As a point of comparison, a public school teacher could cost the district 200,000 *yuan*.[40] *Minban* teachers are not required to have the same qualifications, such as a college degree, as public school teachers.

This arrangement is certainly not ideal. The instructional quality in *minban* schools may be lower than in public schools, and the low compensation could lead to high teacher turnover. The deputy commissioner acknowledged these concerns but admitted that the education commission did not have sufficient resources to address the situation. In fact, the compensation of *minban* teachers has risen steadily and teacher quality has improved after the district invited *minban* teachers to participate in district-wide teaching and research activities using the district's resources. But because the per-pupil funding of migrant schools, set at 5,000 *yuan* by the municipal education commission, remains low, the district has not been able to hire regular teachers for migrant schools because of resource constraints.

Insufficient financial resources are thus part of the problem. Another part was revealed in an interview with officials from the district *bianban*. The *bianban* calculates the number of teachers to whom it can offer an official position using a set formula. The formula is decided by the central government's State Commission Office for Public Sector Reform (中央编办) and the Ministry of Education, with minor modifications allowed on the part of districts (see Table 4).[41]

In past years, the total number of teachers that each district can employ was decided at the district level. But more recently, as the state council has sought to control the overall number of public employees (财政供养人员),[42] the municipal *bianban* has also weighed in on the overall size of the teacher population. The deputy head of the district *bianban* said:

> We make our proposal regarding *bianzhi* to the city, and they give their estimates. We had several meetings with the municipal *bianban* to decide the number of our schools and teachers. The formula they use did not sound reasonable to us. For instance, the population, particularly the migrant population, has increased a lot in our district but they don't take that into account in their estimates. They use a very simple formula starting with a baseline number times a multiplier every year. But the baseline number is outdated and did not make any sense to us. (Log1706400022528)

This back-and-forth negotiation typically ended with the district's proposal being accepted in modified form. Once the total number of teacher positions had been approved, the district education commission would allocate them to different types of institutions (nurseries, kindergartens, elementary and secondary schools, etc.).

> We intentionally keep some *bianzhi* in reserve. In fact, we are slightly conservative in adding new positions in schools. Our strategy is to give each school just enough to work with, which leaves us with more room for growth in the future.

[40]This amount includes salary, social security, professional development funds, etc.

[41]In practice, the district was permitted to modify the staffing plan provided that it does not exceed the overall limits. For instance, an elementary school with 20 classes could hire 20×2.3+6×0.5+5/3≈51 teachers according to the district's own formula. This flexibility is mainly due to shrinking class sizes in Shanghai in the past two decades.

[42]For instance, in his interview with the press at the National People's Congress in March 2013, Premier Li Keqiang promised that during his term 'the number of public employees will only be cut, not increase' (财政供养的人员只减不增).

> But I think our colleagues in the education commission are generally content. Why? I believe for two reasons. First, though the number of *bianzhi* we gave them is not ideal, it is much better than the deal they would have got from the side of the city. The teaching force situation is also better than that of district administrators. The district uses many employees without formal *bianzhi* (编外人员). Second, they know that the *bianzhi* situation for teachers could not be solved overnight. They have another thousand teachers at the preschool level, most of whom work in nurseries, who currently do not have *bianzhi* at all. (Log1706400022528)

The political economy plays an important role. The staffing situation of the education commission certainly leaves room for improvement, and the leadership would welcome an increase in the size of the teaching workforce. This would make possible class size reductions and more frequent professional development activities. But the current scenario is seen as adequate. In comparison with administrators at the district level, schools seem to be in a better position. At the time of the above interview in 2013, the district education commission employed only 36 public servants and 58 *shiye renyuan*. With fewer than 100 administrators, the commission managed 300 schools with more than 200,000 students on a daily basis. The commission had to 'borrow' staff from schools to fill vacant positions.

Additionally, the education commission's responsibilities are expanding to include some education enterprises that are not included under the umbrella of compulsory education. Such enterprises include early childhood education. Traditionally, nurseries and kindergartens do not fall in the commission's jurisdiction, but as education reforms move toward universal early childhood education, the district commission is increasingly called upon to regulate this new arena. *Minban* teachers are thus one of several categories competing for more staff *bianzhi*, and there are no guarantees that the reform of *minban* teaching will be at the top of the district's agenda. In this sense, the staffing policy certainly reflects the district's fiscal capacity, but it is also a result of competing priorities in education development.

### *Land use policy*

Schools can be built only on land designated for administration and public services.[43] Land is reserved for these uses when residential areas are zoned. When the student population grows, there are typically two solutions, namely, to build new schools or to expand existing schools, because by law each school must comply with the national facility code (see Table 5). The interviewed officials noted that these are 'hard limits' that they have to observe.

When the authors conducted their first interview with the deputy education commissioner in February 2013, the district was engaged in negotiations with the municipal land regulatory authority. In the previous eight years, the elementary student population had more than doubled, and the middle school student population had increased by 20%. Yet the amount of land available for school use did not grow equally fast. This is because the original urban planning did not anticipate the high rate of population growth, and therefore insufficient land was reserved for administration and public services. Although land was in short supply everywhere, the migrant population typically concentrated in certain areas in which rents were cheap, creating clusters of residential areas that were especially underserved by schools.

In addition, the population growth in District S had prompted increased demand for land from multiple institutions for public services. Hospitals, recreational parks, cultural and sports facilities, and the neighborhood committee (居委会) all competed for additional land, and all of these demands had to be met from the same category of land. Therefore, the education sector's growing land needs could not be met within the district.

Under the current administrative regime, land quotas are calculated based on the locally registered population (i.e. those inhabitants holding local *hukou*). This means that migrants are included in the land quota calculations of their regions of origin. When migrants move across provincial borders, the land quota of the hosting region is not adjusted accordingly, because the principal unit for land distribution

[43]Ministry of Housing and Urban–Rural Development of the People's Republic of China, *Code for Classification of Urban Land Use and Planning Standards of Development Land GB50137-2011*.

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**Table 5.** School facility standards in urban areas.

| School level | Class type | Standards | 2002 | 2010 |
|---|---|---|---|---|
| Elementary school | 24 classes, 1,080 students | School buildings | 5,903 | 8,345 |
| | | Square meters per student | 5.5 | 7.73 |
| | | Sports facilities | N/A | 7,630 |
| | 30 classes, 1,350 students | School buildings | 7,002 | 9,753 |
| | | Square meters per student | 5.2 | 7.22 |
| | | Sports facilities | N/A | 11,999 |
| Middle school | 24 classes, 1,200 students | School buildings | 7,972 | 11,087 |
| | | Square meters per student | 6.7 | 9.24 |
| | | Sports facilities | N/A | 11,191 |
| | 30 classes, 1,500 students | School buildings | 9,572 | 12,600 |
| | | Square meters per student | 6.4 | 8.4 |
| | | Sports facilities | N/A | 11,849 |

Sources: Ministry of Education of People's Republic of China, *Constructional Standard for Elementary and Secondary Schools in Urban Areas* (Beijing: Ministry of Education of People's Republic of China, 2002), in Chinese; Ministry of Education of People's Republic of China, *Revision of Constructional Standard for Elementary and Secondary Schools in Urban Areas* (Beijing: Ministry of Education of People's Republic of China, 2011), available at: http://jzsj.jsjyt.edu.cn/art/2013/4/25/art_7191_122127.html (accessed 4 November 2014), in Chinese. The revision has not been officially published but is used nonetheless.

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is the province. This leaves cities and provinces that receive migrants from other provinces scrambling to find new physical spaces to provide public services.

The education commission in District S has responded to the land shortage by continuing to use *minban* schools, increasing class size and expanding current buildings. The first solution exploits a gray area in land regulation, because the *minban* schools, which were converted to semipublic schools in 2008–2010, were mostly built on land of questionable status (i.e. not only on administration or public service land). But since they already occupy the space and both the district and the municipal government acknowledge the importance of adequate space for schools, the *minban* schools were permitted continued use of these lands. Designated grants were even given to the 13 schools to renovate their facilities.

The second option is to increase class size. Its scope is clearly limited, however, since the law prohibits any elementary classroom to have more than 45 students, a headcount that classes in many of the schools have already reached. The third option, expanding existing schools, does not require the allocation of new land but rather involves modifying the existing planning scheme. In the district's calculation, the implementation of this option would necessitate increasing the floor area ratio (FAR) of 28 elementary schools from 0.5 or 0.6 to 1.5.[44] FAR is the ratio of a building's total floor area to the size of the land on which the building is built. For instance, a FAR of 2 indicates that the total floor area of the building is two times the gross area of the plot on which it stands.

Administratively, the municipal authority regulates the FAR scheme. The district education commission's proposal to increase its elementary schools' FAR was rejected several times by the city, because the latter required a multiyear assessment plan and a justification for the modification. Because the municipal government is a level higher than the district and the land regulation authority lies within a different line of bureaucratic agencies, the district education commission had no leverage over either of the two. The deputy education commissioner told the authors:

> They kept asking us why we need the modification, and we said because our classrooms are crowded and we need to expand our buildings. We even have a special grant from the municipal education commission [for remodeling purposes], but we don't have the land quota. So perhaps we can modify our building plan to add buildings or floors to existing campuses. But they insist on the need to double-check our figures. It will be necessary for the municipal education commission to submit a request to them first and then the assessment procedure can start. (Log1675295981568)

[44]There are an additional 72 nurseries and kindergartens that also need increased FAR, but since the authors do not know whether they were open to migrant children, the authors exclude them from the analysis. All in all, about 100 schools are in need of renovations to their current facilities.

The land authority's cautious response is understandable for several reasons. In addition to the fact that it does not answer directly to the education commission, its concern is underpinned by multiple reports of abuse of land quotas by local governments. In the absence of developmental resources, local governments sometimes intentionally circumvent central orders by exceeding legal and budgetary constraints.[45]

The second layer of complexity is the fluctuating nature of the migrant population. Jobs may come and go. This means that it is not easy to predict the demand for education in a timely manner. When new buildings are completed but fewer than expected students actually attend these schools, officials fear they may be held responsible for waste of public resources.

By the time of the authors last interview in January 2014, after a yearlong process of negotiation, the district education commission's petition to the municipal government was finally successful. The FAR of all 28 school buildings will increase from 0.6 to 0.8, with construction planned for the current fiscal year. This plan gives the district flexibility to modify existing facilities and avoid the aggressive construction projects it had originally planned. Schools that need to expand their facilities in the future will be allowed to reach a FAR of 0.8–1.5 by individual request. This outcome has temporarily solved the space constraint problem in District S's schools.

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## Discussion

In this article the authors discussed the complexities surrounding the supply of education to migrant children based on analysis of government statistics and interviews from Shanghai. Though the specificity of local governance might be unique in Shanghai, the authors believe the structural constraint they found can have implications for public service reform in other Chinese mega cities. Echoing previous studies, the authors confirmed that the ability to provide public education on a large scale is closely related to the local government's fiscal capacity. This is partly due to past legislation, which delegated responsibility for education to lower levels of government but did not provide sufficient financial resources. In the case of Shanghai, it is the district government that is charged with the responsibility of financing local schools. Though there are some transfers of funds from the municipal to the district government, the local education commission still faces significant pressure as the migrant population continues to grow rapidly.

This analysis further explored factors beyond per-pupil expenditure and the financing scheme that limit the district's ability to supply education. The authors found that two related branches of government, the *bianban* and the land planning authority, control the staff and the physical space that are available to expand schooling opportunities.

These two governmental agencies, together with the education commission, are tangled in the duality created by the *hukou* system. In terms of education, there is a clear, geographic urban–rural divide; within urban areas, there is a further de facto multitiered system across provincial and regional borders. The availability of education is determined in the first instance by each region's economic and social conditions. Many studies have associated the dilemma faced by migrant children with the *hukou* system.[46] The authors agree that this is the basic premise for understanding the situation right now.

Yet the root of the issue goes beyond simple fiscal capacity. Zhou characterizes the current management scheme as static and localized,[47] and indeed, the term 属地化管理, or 'localized management', was used several times during the authors' interviews with officials.

Under this management scheme, local governments represent the basic accounting and spending units in the provision of public goods. This management scheme is coupled with the *hukou* system. Each government's responsibility is limited to the residents who are registered within its jurisdiction.

[45] Jiang Xu and Anthony Yeh, 'Decoding urban land governance: state reconstruction in contemporary Chinese cities', *Urban Studies* 46(3), (2009), pp. 559–581.

[46] Chan and Zhang, 'The *hukou* system and rural–urban migration in China'; Tiejun Cheng and Mark Selden, 'The origins and social consequences of China's *hukou* system', *The China Quarterly* 139, (1994), pp. 644–668.

[47] Zhou, 'Resource allocation for the supply of public goods under locally managed system vs. high-mobile society'.

Its area of responsibility is bounded by geographic location and registered population. These are the basic characteristics of localized management.

Under this scheme, the amount of public goods that are made available by the local government in any given year is determined by three factors: the government's disposable revenue; the number of available *bianzhi*; and the available land quota. The revenue is used to buy goods and services and to pay staff. Since most people hired in the field of education are on the government payroll, they are managed directly by the *bianzhi* system. Lastly, land is used to create physical spaces that house public services such as education. Both *bianzhi* for administrative staff and land for construction are controlled by the central government and then allocated to provincial governments. Teacher *bianzhi* are handled in a very similar manner. Within each province, these resources are distributed further to local governments. The mechanism for collecting and allocating resources has seen changes in the past 30 years, but the basic principle—that administrative resources are allocated by geographic/administrative regions on the basis of residency—remains intact and forms the premise of localized management.

It is easy to see the appeal of localized management for a low-mobility society. The advantage of localized management is that it can ensure coverage of public services through a direct chain of command. The responsible agencies are easily located under such an administrative regime. Within each governmental agency, upper levels of government can straightforwardly issue new policies and track delivery by their subordinates. The people who receive the services know who is providing them and is thus responsible for them. With little mobility across regions, estimating the supply of and demand for education and other social benefits in each administrative region is simple.

However, contemporary Chinese society is very different from the society in which the *hukou* system was introduced. This is not only because the Chinese population has grown; it has also become much more mobile in a geographic sense. Today, more than 250 million people move seasonally or annual across provincial borders. Modern transportation and communication technologies have made moving much easier than at any previous time in Chinese history. While some scholars have argued that the Chinese government has been making 'de-marketization' efforts to ensure the equal and sufficient supply of public goods to all of its citizens,[48] it remains unclear how to deliver public services effectively given the massive scale of migration. This study provides a vignette on the internal constraints on the supply of education within the administration.

One thing is clear: the tension in public services provision created by population movement cannot be overlooked. Since the provision of public services is localized but people move unevenly across administrative units, it becomes increasingly hard for local governments acting alone to be the primary service providers. It is true that local governments have benefited from the growth of the economic pie due to the presence of migrants. But the benefits are distributed unevenly among different levels of government.[49] As this analysis has shown, administrators rarely see these benefits in their work. Service providers feel increasing pressure to keep up with population growth. This study leads us to the conclusion that local educational authorities alone do not have the capacity to create more supply in the short run. Further, the quality of the education that is provided is questionable. Because of a lack of data the authors could not verify empirically whether the relationship between fiscal capacity, staffing quota, land quota and migrant population growth is true on a larger scale. The authors leave this question to future research.

Because localized management is built on the *hukou* system, when the migrant phenomenon first appeared, the deficit in capacity soon appeared at the local government level in various hosting areas. In the case of Shanghai, even after a period of denial, the contradiction between localized management and public service delivery in a transient society has not been picked up in official accounts. Since the 1990s, various government publications have argued that local governments should solve the problem without asking what resources are needed for the task. These ordinances have simply served to reiterate

[48]Shaoguang Wang, 'The great transformation: the double movement in China', *Boundary 2* 35(2), (2008), pp. 15–47.
[49]Wong, 'Can the retreat from equality be reversed?'.

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who is responsible for what, both administratively and financially, without touching the underlying issue of the localized provision of public services.

In the case of education, considering fiscal capacity, staffing quota and land quota, local governments that receive only a handful of incoming migrants will be able to provide education for these migrants within the current framework of localized management. But in megacities such as Beijing, Shanghai and Guangzhou, the sheer scale of migration raises the issue to another level. Although these cities continue to grow economically at a fast rate, the benefits and responsibilities may not fall equally on lower levels of government. This calls for more coordination and careful planning within higher-level administration. Specifically, the authors recommend that transfers from higher to lower levels of government should take into account the dynamics of population change. While traditionally the *bianban* and the land authority have not been considered to play a part in the creation of public services, they should be included in the discussion in the future.

In addition, an interregional, particularly cross-province, coordination mechanism should be developed to adjust the distribution of administrative resources according to population movements. The recent moves by several provincial governments to loosen their grip on the allocation of resources are a promising sign of progress,[50] but the authors have yet to see any signal of change across provinces. This is perhaps a question that the authors all need to think about.

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[50]For instance, Chongqing has developed a land market to adjust land quotas between rural and urban regions. Jiangsu has experimented with a similar scheme between its southern and northern parts.

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